

Company A is considered a safe option for conservative investors who want to minimize risk. Over the past year, its shares traded in a very narrow range, from \$102.105 per share. Company B is considered an exciting option for risk tolerance traders who want to maximize returns by trying to frequently buy low and sell high with share prices moving between \$102.00 over the past year.

As can be seen, Company B share prices fluctuate a lot more aggressively, and we therefore say Company B shares are more volatile. A 1% daily price movement would be considered exciting by Company A standards whereas Company B investors would find it boring.

Should you invest in Company A or B? Volatility alone cannot tell you that.

Maybe the boring Company A started the year at \$100 per share and ended it at \$105, a respectable 5% higher. Company B on the other hand might have started at \$100, climbed to \$200, but then collapsed right back down to \$100. Volatility simply tells us that an asset or asset class is likely to have wilder or less wild price swings. It doesn't show us a direction. We can use metrics such as the beta and historically compare Company A or B volatility to that of the entire stock market. Let's say beta of 0.5 for Company A tells us its shares are 50% less volatile than the average, whereas a beta of 2.5 for Company B tells us its shares are 2.5 times more volatile than the benchmark. Alternatively, we can use future oriented metrics such as the implied volatility to see how volatile the market thinks the stock price will be.

If Company A starts the year at \$100 per share and the implied volatility is 5%, the market expects it to trade up to \$5 higher or \$5 lower over the course of one year.

We even have metrics such as the volatility index for the S&P 500, which tracks the 30-day implied volatility of those shares. Some creators even bet on it.